3.1 DCF Introduction

DCF is a Valuation method which estimates the current value of future cash flows.

With DCF, we first need to forecast what the company will earn this year ,next year, 2 years from today and so on. This is only possible if we have a good understanding of the business. Next, we need to discount future profits to present value due to the time value of money.

Lets understand the Time Value of money with a simple example:

We have invested in Government securities with an interest rate of 6%

Let's assume we started with Rs.100.
Since the interest rate is 6%, we will earn Rs 6 and our total amount will be Rs106 in one year.
As a result, we can see that Rs 100 today is equal to Rs 106, ! year from today and more valuable than Rs 100, 1 year from today. This is what the time value of money says. With time the value of money falls. So if a company earns Rs10 crores next year, it is worth Rs 9.5 crores this year as the company would have earned interest on it too.

Year 1	Year 2	Year 3
100	106	112